UPI payment fraud

it is a type of digital financial crime in which scammers trick individuals into transferring money through Unified Payments Interface (UPI) platforms. It exploits users' lack of awareness or urgency to manipulate them into authorizing transactions.

This fraud usually happens step-by-step in a planned manner. First, the scammer contacts the victim via phone, SMS, or social media, pretending to be a bank official, customer care agent, or even a buyer. Next, they create a sense of urgency or offer an attractive deal, such as cashback or a refund. Then, they send a "collect request" or a fake payment link and instruct the victim to enter their UPI PIN, claiming it is required to receive money. In reality, entering the PIN authorizes a payment from the victim's account. Once the PIN is entered, money is instantly transferred to the fraudster's account.

Anyone using digital payments can be targeted, but common victims include elderly individuals, people unfamiliar with online transactions, and small business owners. Fraudsters often focus on those who may not fully understand how UPI systems work.

The consequences can be serious. Victims may lose significant amounts of money, sometimes their entire savings. It can also lead to stress, loss of trust in digital systems, and difficulty recovering funds, as UPI transactions are usually instant and irreversible.